H1 RENEWAL READINESS · SCORECARD

Your H1 Numbers Are Your Renewal Leverage.

Five metrics PBMs already model into their renewal proposals. Pull them at the H1 mark, score against market benchmarks, and walk into the renewal conversation with the data the PBM did not present to you.

01 Before You Score: Data to Pull from Your PBM

Request 12 to 24 months of history for each item below. The H1 numbers are most useful when compared to the same period last year. If the PBM's dashboard does not produce any of these natively, ask for them as a custom pull; the request itself is diagnostic.

- [ ] Generic effective rate (GER), retail and mail, monthly
- [ ] Specialty drug spend as % of total pharmacy spend, monthly
- [ ] High-cost claimant count by threshold ($50K, $100K), quarterly
- [ ] Total pharmacy spend and member months by month
- [ ] Rebate per brand claim, quarterly
- [ ] Contract guarantees document for current PBM agreement

02 Score Your Readiness

METRIC	GREEN	YELLOW	RED	YOUR NUMBER	SCORE
GER (Retail)	GREEN > 85%	YELLOW 80-85%	RED < 80% (pricing erosion)	______	○ ○ ○
PMPM Trend (YoY)	GREEN < 10% growth	YELLOW 10-15% growth	RED > 15% growth	______	○ ○ ○
Specialty % of Spend	GREEN 40-55% (stable)	YELLOW +2-3 pts YoY	RED > 55%, or +3 pts YoY	______	○ ○ ○
Rebate per Brand Claim	GREEN Meeting or exceeding guarantee	YELLOW Within 5% of guarantee, declining	RED Below guarantee or material decline	______	○ ○ ○
High-Cost Claimants (> $100K)	GREEN Stable / declining YoY	YELLOW Increasing, within stop-loss	RED Clustering near attachment	______	○ ○ ○

Illustrative benchmarks for educational purposes. Actual benchmarks vary by plan and contract structure. 3+ Greens: negotiate from strength. 3+ Reds: address gaps before the PBM sets renewal terms.

03 How to Calculate Each Metric

Document the formula used for each metric so H1 numbers compare apples-to-apples against H2 and next year's H1.

GER (Retail)	`(AWP - Actual Cost) / AWP`	*Calculate average cost per generic Rx and compare to AWP. The gap between your GER and your contract guarantee is one of the most concrete data points to bring to renewal.*
PMPM Trend	`Total Pharmacy Spend / Member Months`	*Calculate H1 PMPM, compare to same period last year. If double-digit growth, decompose into price trend, utilization trend, and mix shift (specialty + GLP-1).*
Specialty % of Spend	`Specialty Spend / Total Pharmacy Spend`	*Track quarterly. Sub-metrics: top 10 specialty drugs by spend, biosimilar adoption rate, specialty vs traditional PMPM trend.*
Rebate per Brand Claim	`Total Rebates / Brand Claims`	*More revealing than total rebate dollars. Total rebates can grow because total spend grew. Rebate per claim measures PBM rebate efficiency.*
High-Cost Claimants	`Count of Members > $100K`	*Track quarterly. Compare to stop-loss specific and aggregate attachment points. Clustering compresses stop-loss exposure faster than projections suggest.*

04 Renewal Positioning by Score Pattern

3+ GREENS · NEGOTIATING FROM STRENGTH

Use performance data to anchor expectations.

Strong H1 performance is leverage. Bring documented metrics to the renewal table to anchor pricing and guarantee discussions, and push for stronger guarantees on the metrics already performing.

MIXED GREENS AND REDS

Negotiate trade-offs deliberately.

Use Green metrics as anchors and Red metrics as remediation conversations: pair each strong metric (document it as a stronger guarantee) with each weak one (the contract change that fixes it) in the same negotiation.

3+ REDS · PERFORMANCE GAP CONVERSATION

Address gaps before the PBM sets renewal terms.

Three or more Red metrics signal the PBM will lead the renewal with their narrative. Get ahead: document each gap, identify the contract or operational driver, and bring remediation requests to the table. Coordinate a stop-loss carrier review if Red on High-Cost Claimants.

RED ON GER OR REBATE PER BRAND CLAIM

Open the pricing conversation now, not at renewal.

Pricing erosion mid-contract often qualifies for remediation under existing contract language; do not wait for renewal. Document the shortfall, calculate the dollar impact, and request remediation in writing.